FIN623 - Quiz No.03

Date: 05 January 2026

Q.1 Which one of the following parts of the ITO 2001 specifies the rates of depreciation?

A. Part IV of 1st Schedule

B. Part III of 3rd schedule

C. Part I of 3rd schedule

D. Part II of 3rd schedule

Q.2 Mr. Zohaib earned a basic salary of Rs. 600,000, a commission of Rs. 200,000 and a bonus of Rs. 100,000 during the year. Which of the following is his tax liability for the tax year 2026? (Tax Slab: 1% of the amount exceeding Rs. 600,000)

A. Rs. 3,000

B. Rs. 15,000

C. Rs. 45,000

D. Rs. 7,500

Q.3 A depreciable asset has normal useful life of:

A. Six months

B. One year or more

C. None of the given options

D. Eleven months

Q.4 Condition for the approval of gratuity fund is based on which of the following?

A. Trust is irrevocable

B. Trust is approved by Officer of Income Tax

C. Trust is established by Government

D. Trust is revocable

Q.5 Profit earned on debt derived by the person whose business is to derive such income, is chargeable under:

A. Income from other sources

B. Income from capital gains

C. Income from salary

D. Income from business

Q.6 Sec. 64 tax credit for profit on debt of the ITO 2001 for the tax year 2026 has been omitted by:

A. Finance Act 2015

B. Finance Act 2016

C. Finance Act 2017

D. Finance Act 2014

Q.7 For the tax year 2026, the income earned by a textbook Board is:

A. Not discussed in the Ordinance

B. Partially exempt

C. Not treated as income

D. Taxable

Q.8 Income from building leased out together with Plant & Machinery falls under

A. Income from salary

B. Income from property

C. Income from other sources

D. Income from capital gain

Q.9 What is the tax treatment of the fees and commissions earned by the employee?

A. Not mentioned in Income Tax Ordinance 2001

B. Partly Taxable

C. Wholly Exempt

D. Wholly Taxable

Q.10 Mr. Shahzad, earning a basic salary of Rs. 600,000, has been provided with the house rent accommodation of Rs. 450,000 for the tax year 2026. What will be his taxable income?

A. Rs. 250,000

B. Rs. 1,050,000

C. Rs. 450,000

D. Rs. 600,000
